

While imports currently account for less than 10% of the Indian furniture market, they have been growing rapidly in recent years, and the potential for high-end/luxury furniture imports is particularly high, say experts.

THE INDIAN RESPONSE

While foreign furniture companies are making their mark in India, seeing the country's burgeoning middle class as a lucrative market, their Indian peers are not far behind. Dev Sarkar, Senior Vice President & Global Head of Consumer Business, Interio, Godrej & Boyce, says that for companies like Godrej—that has a legacy of over 127 years—competition only makes it think out of the box and innovate.

Unlike Poltrona, Godrej caters to a wider market, which includes both the premium as well as the economy segment. Sarkar understands the drive towards premiumisation in the Indian furniture market and consequently, emphasises that the company made a strategic decision to bifurcate the segments. "Normally, premium products from us are available in the store. There too, in some ultra-premium markets, these products are showcased differently. Where the economy segment is concerned, it is mostly sold through our distribution partners," he says.

As Sarkar explains, Godrej Interio has conducted extensive research in the past year to gain deeper understanding of its customers' emotional and functional needs. "We wanted to steer in a different direction and make our furniture contemporary, trendy, and amenable to a very, very young generation," says Sarkar.



"The relationship between Poltrona and India isn't just about selling furniture. It's about introducing a new level of luxury and experience"

NICOLA COROPULIS
CEO, POLTRONA FRAU



"India is such a market where every region has its own unique demands, its own unique aesthetics, needs, and so on"

DEV SARKAR
SENIOR VP & GLOBAL HEAD
OF CONSUMER BUSINESS,
INTERIO, GODREJ & BOYCE

As a result, the company brought out its much-awaited HomeScapes study, which revealed that 58% of consumers have a deep emotional connection with their furniture, and 44% consider it a community space to share with friends and family.

But what is driving this rush towards premiumisation? According to Anand Ramanathan, Partner, Consumer Products and Retail Sector Leader, Deloitte India, the Indian furniture market has undergone a sea change of late. "There are many reasons as to why this premiumisation is taking place. A key reason is real estate growth," he tells *BT*. According to Ramanathan, as incomes increase, more people are able to buy a second home, driving demand premiumisation. "Overall market size of second homes and retirement villas was \$1.4 billion in 2021 and is set to cross \$4 billion by the year 2026," he adds.

Ramanathan also claims that Indian home décor is becoming more design-conscious, aesthetic, and individualistic. "[Indian] consumers are valuing unique customised and branded furniture pieces over mass-produced items. They are also preferring bigger homes," he says. Therefore, this sensibility is exactly what global players—like Poltrona Frau—are trying to tap into.

If global competition is growing, how are Indian companies responding? Godrej, for instance, has come up with some innovative strategies. "One thing is that Godrej prides itself in wanting to be a part of the consumer's life from the beginning. Hence, we have partnered with architects across the country and we have a provision that when a consumer is designing her home, we want to be partners where we at Godrej would take care